THE PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT MID TERM JOINT EXAMINATION

FORM ONE
062 BOOK KEEPING

Time: 2½ Hours **Thursday, 27th August 2026 a.m.**

Instructions

1. This paper consists of sections **A**, **B** and **C** with a total of **nine** questions.
2. Answer **all** questions.
3. Sections **A** carries **fifteen marks** and **B** carries **forty marks** and Section **C** carries **forty-five marks.**
4. All writings must be in blue or black ink.
5. All answers must be written in the spaces provided.
6. Cellular phones and any unauthorized materials are **not** allowed in examination room.

FOR ASSESSORS→USE ONLY		
QUESTION NUMBER	**SCORE**	**ASSESSOR→S INITIAL**
1		
2		
3		
4		
5		
6		
7		
8		
9		
TOTAL		

SECTION A (15 MARKS)

Answer **all** questions in this Section

1. For each of the items (i) to (x) choose the correct answer from among the given alternatives and write its letter beside the item number in the answer table provided.

(i) A trader wants his accounts to record his customers→satisfaction with his business. Which accounting principle prevents this?

A. Business entity principle
B. Dual aspect principle
C. Money measurement principle
D. Historical cost principle

(ii) In which book of prime entry Mr Seypalm should record the purchases of a computer on credit?

A. Journal proper
B. Purchases day book
C. Sales day book
D. Cash book

(iii) Which of the following is the main purpose of balancing a ledger account?

A. To prepare a trial balance
B. To determine the difference between the two sides of the account
C. To prepare an income statement
D. To calculate the owner's profit

(iv) The total of the Returns Outwards Journal is transferred to the

A. Credit side of the returns outwards account
B. Debit side of the returns outwards account
C. Credit side of the returns outwards book
D. Debit side of the purchases returns book

(v) A main book of account used to record transaction following the principle of double entry

A. Journal
B. Book of prime entry
C. Cash book
D. Ledger

(vi) Golf motor dealers of used cars from Japan purchase their stock in cash and sometimes with a promise to pay at a later time. Where should they record those cars they do not pay for them on the spot when they purchase them?

A. Credit purchases Account
B. Purchases day-book journal
C. Non-current Account
D. Purchases return day book

(vii) Determine the amount of capital from the following Premises TZS 20,000, loan to khairunisah TZS 17,000 stock TZS 35,000, creditors TZS 5,000, loan from Ralma TZS 22,000

A. TZS 50,500
B. TZS 45,500
C. TZS 45,000
D. TZS 48,000

(viii) Which of the following accounts normally has a debit balance?

A. Capital account

B. Sales account
C. Purchases account
D. Creditors account

(ix) According to the rules of double entry, when goods are purchased for cash, which accounts are affected?
A. Purchases account is credited and Cash account is debited
B. Purchases account is debited and Cash account is credited
C. Cash account is debited and Sales account is credited
D. Purchases account and Capital account are both debited

(x) Which of the following is a personal account?
A. Rent account
B. Machinery account
C. Asha's account
D. Purchases account

Answers

(i)	(ii)	(iii)	(iv)	(v)	(vi)	(vii)	(viii)	(ix)	(x)

2. Match the explanation source of documents in column A with the corresponding names in column B by writing the letter of the correct responses in your exercise book.

Column A	**Column B**
(i) A document used to authorize and record small cash payment made for the period. (ii) A document issued by a seller to a buyer to reduce the amount the buyer owes when goods are returned, overcharged or damaged. (iii) A document prepared when cash is received by a business. (iv) A document representing an order from an account holder instructing a bank to pay specified of money to a named person or bearer. (v) A document issued by a seller to a buyer when goods are sold or purchases on credit.	A. Invoice B. Credit note C. Petty cash voucher D. Debit note E. Cheque F. Bank pay in slip G. Cash receipt voucher

Answers

(i)	(ii)	(iii)	(iv)	(v)

SECTION B (40 MARKS)

Answer **all** questions from this section.

3. Explain the following book keeping concepts and principles.
(a) Money measurement concept

(b) Matching concept

(c) Historical cost concept

(d) Accrual concept

(e) Duality principle

4. Mr Seypalm is a wholesaler dealing with buying and selling closthes. He recently bought clothes on credit from Kapata Traders. Immediately upon the receipt of the clothes, he returned some of the goods and issued a debit note to Kapata Traders. Why Mr Seypalm returned some of the goods. Give five reasons.

(i) _____

(ii) _____

(iii) _____

(iv) _____

(v) _____

5. Identify whether the following accounts are nominal, real or personal.

S/N	Name of account	Type of account
(i)	Premises	
(ii)	Drawings	
(iii)	Advertising	

(iv)	Inventory	
(v)	Machinery	
(vi)	Bank charges	
(vii)	Purchases	
(viii)	Bank overdraft	
(ix)	Sales	
(x)	Return outward	

6. Indicate the account to be debited or credited from the following transactions.

S/N	**Transaction**	**Account to be debited**	**Account to be credited**
Exam	Withdraw cash from bank for business use.	Cash account	Bank account
(i)	Amount received from debtor by cheque		
(ii)	Purchases of motor van on credit		
(iii)	Sales of furniture for cash		
(iv)	Goods sold for cash		
(v)	A proprietor invested amount of cash in business		

SECTION C (45 MARKS)

Answer all questions from this section

7. You are working at Quality furniture~~s~~ Mart, a supplier of office and home furniture. The following are his credit sales for the month of January 2026

Date	**Customer name**	**Items sold**	**Quantity**	**Price per items**
1th January	**Classic Interior Ltd**	Office sofas	2	150,000
		Conference tables	1	280,000
		Visitors chairs	6	120,000
17th January	**Home Style Ltd**	Bedroom sets	2	200,000
		Coffee tables	3	300,000
19th January	**Elite Spaces Ltd**	Dining table	2	120,000
		Dining chairs	8	150,000

Required: Enter transaction for January in sales journal.

8. Kavishe is a businessman who deals with selling stationeries. The following transactions were carried out by Kavishe. Draw up a cash account and balance the account at 30th November 2021

1/11/2021	Started business with capital in cash		800,000
2/11/2021	Cash drawn	450,000	
2/11/2021	Paid cash for rent		95,000
3/11/2021	Halima lent us cash		280,000
8/11/2021	Bought goods in cash		150,000
8/11/2021	Paid cash for carriage inwards		30,000
9/11/2021	Sold goods for cash		125,000
9/11/2021	Paid cash for postage		15,000
18/11/2021	Purchased goods in cash		115,000
20/11/2021	Paid transport charges in cash		20,000
25/11/2021	Cash sales		200,000
28/11/2021	We lent Juma a cash		120,000

9. The following transactions were carried out by **Kanyezi Traders** during January 2026:

Date	Transaction	Amount (TZS)
Jan. 1	Started business with cash	500,000
Jan. 3	Bought goods for cash	120,000
Jan. 5	Sold goods for cash	180,000
Jan. 8	Bought furniture for cash	80,000
Jan. 12	Bought goods on credit from Juma	150,000
Jan. 18	Sold goods on credit to Amina	220,000
Jan. 22	Paid Juma by cash	100,000
Jan. 25	Received cash from Amina	140,000
Jan. 28	Paid rent by cash	30,000

Required:

(a) Record the above transactions in the appropriate **ledger accounts**.

(b) Balance the following accounts at the end of January 2026:

(i) Cash account

(ii) Juma's account

(iii) Amina's account